

Torchlake Engineering Group LLC

www.torchlakeeng.com

July 26, 2019

Isabella Sandoval, Director of Operations, Franklin PLC

Re: Facility Condition Assessment

Dear Ms. Sandoval:

This letter confirms that Franklin PLC has engaged Torchlake Engineering Group LLC to perform a facility condition assessment of your main plant and warehouse. The deliverable is a deficiency register your team can budget against: every finding located, photographed, priced to a planning level, and ranked by consequence of deferral.

Scope of the assessment:

- Building envelope, roof, and structure, walked floor by floor and documented against the record drawings you provide.
- Mechanical, electrical, and plumbing systems, including remaining-useful-life estimates for major equipment.
- Code and life-safety observations noted as found; we flag, your counsel interprets.

Jeff Fowler, Engineering Manager, directs the engagement and is your day-to-day contact. John Johnson, Project Engineer, leads the field walks and keeps the deficiency register. We will need roof and mechanical-room access, record drawings, and an escort for occupied areas.

Field work begins on August 5, 2019. Our fee for the full scope above is a fixed fee of \$44,500, inclusive of travel within the region, invoiced in three equal installments. Scope changes are agreed in writing before we do the work.

We appreciate the opportunity. Please sign below and return one copy; keep the second for your files.

Sincerely,

David Jones

Torchlake Engineering Group LLC

President

Date: July 26, 2019

Isabella Sandoval

Director of Operations, Franklin PLC

Date: July 26, 2019